

INVESTOR BRIEFING

FY 2025



Our Presentation Roadmap

01

Overview



02

Economic
Updates



03

Business
Updates



04

Financial
Performance

1. We Are Growing

CREATING VALUE



A Transformational Bank



Largest
Co-operative
Bank in Africa -
**15 Million
Members**



Successful
Universal
Banking Model,
**Increased
Dominance in
Kenya**



Growth,
Resilience
and Agility

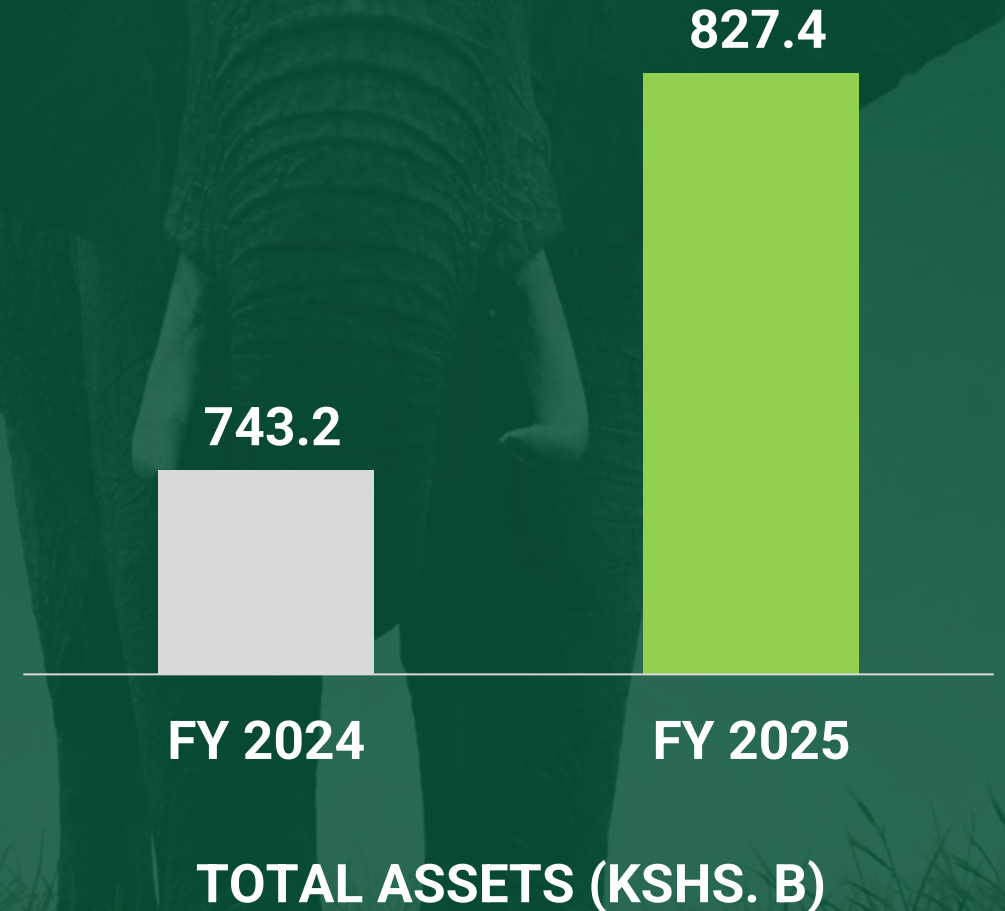
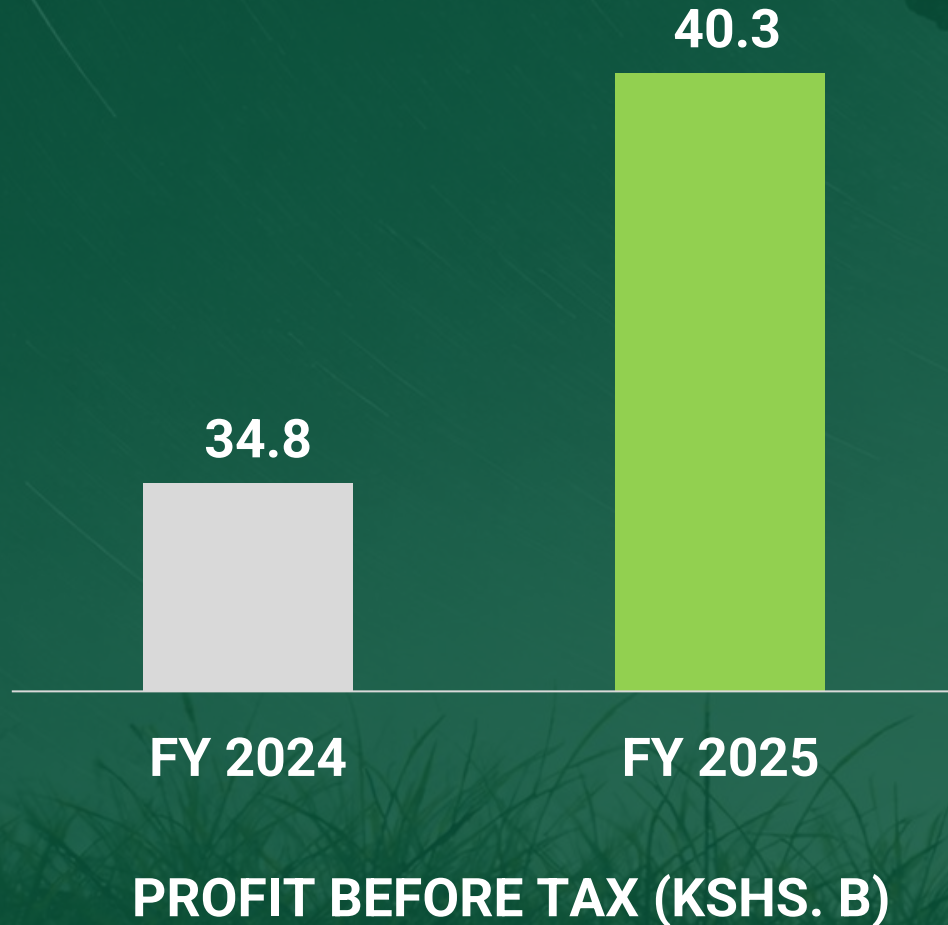


Ksh.
827.4B
in Total Assets



6,235
skilled,
motivated
staff members

Sustained Profitability and Balance Sheet Growth



2. We Are Resilient

PROTECTING VALUE



Purpose driven and Value Led



PURPOSE

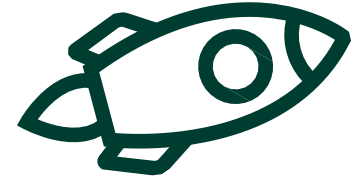
A financial partner predominantly owned
by the Co-operative movement,

Transforming Lives



VISION

To be the dominant bank in Kenya and the
region, riding on the unique Co-operative Model
providing innovative financial solutions for
distinctive customer experience.



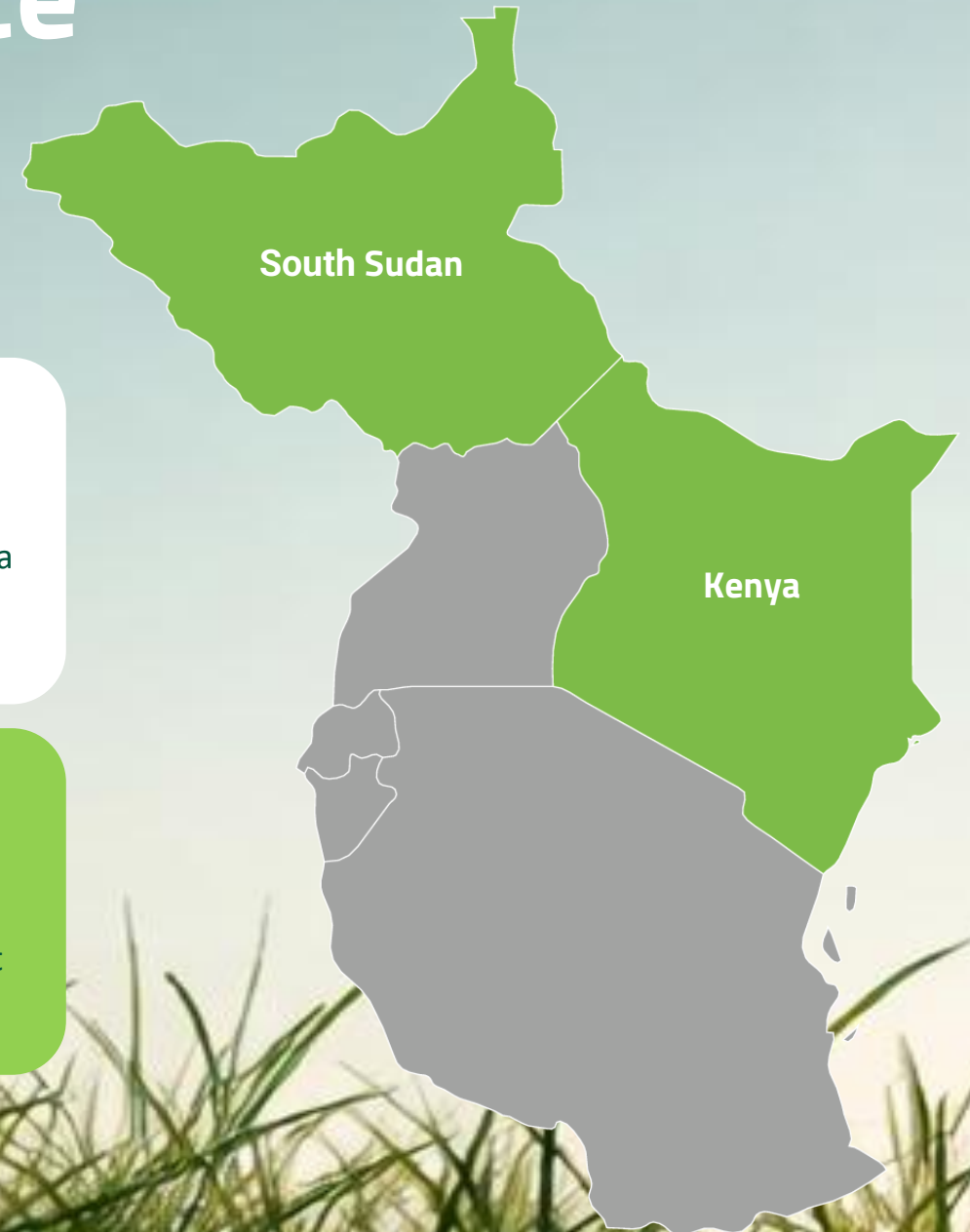
MISSION

To offer a wide range of innovative financial
solutions leveraging on our heavy investment
in multi-channels, national and regional
presence and with a focus on excellent
customer experience by a highly motivated
and talented team.

Our Values

- ✓ Trustworthy
- ✓ Innovative and Agile
- ✓ Passion for Excellence
- ✓ Customers and People
- ✓ Share and Collaborate
- ✓ Bold and Courageous

Our Presence



222 Branches



16,793
Co-op Kwa Jirani
Agents



**620 ATMs & Cash
Deposit Machines
(CDMs)**



**+22K Diaspora
Banking
Customers**



6,235 Staff



**625 Sacco
Front Offices
Branch
Network**

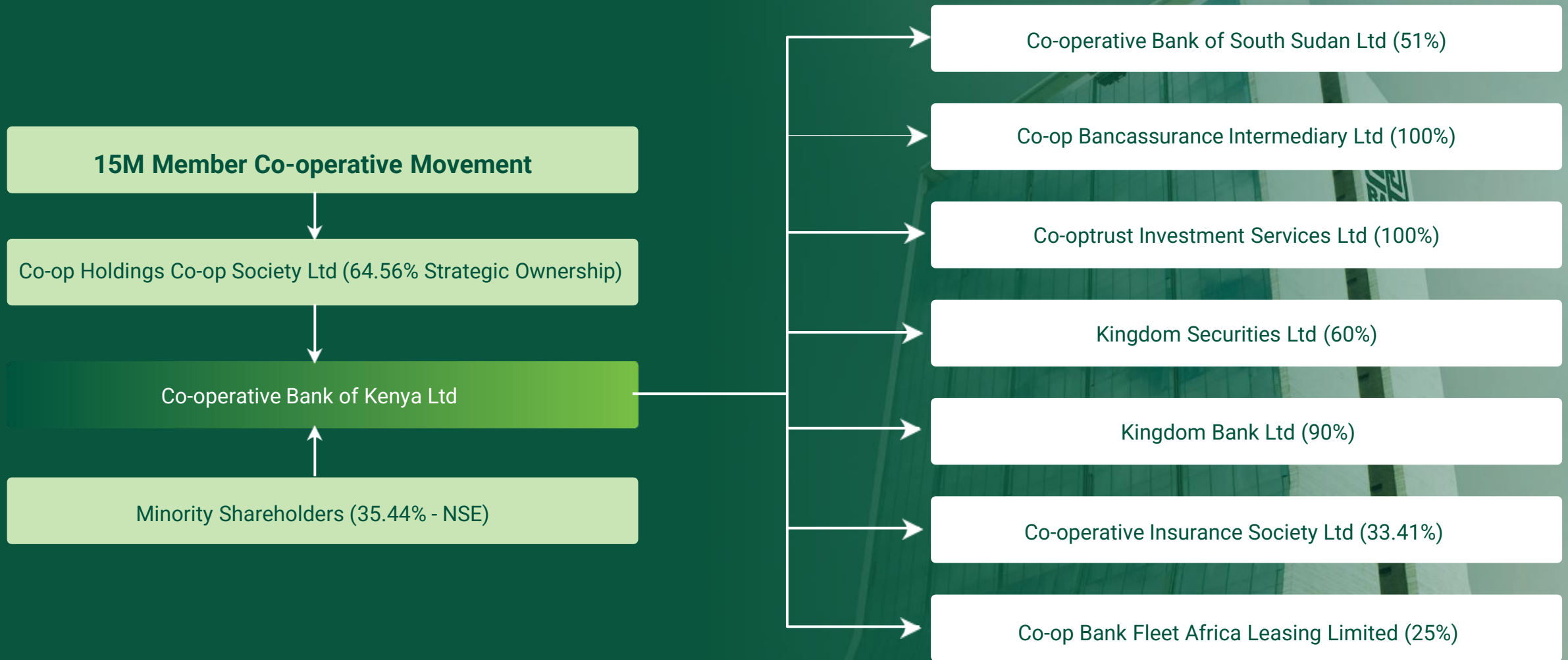


**New Core
Banking
System**



**24hr Contact
Centre**

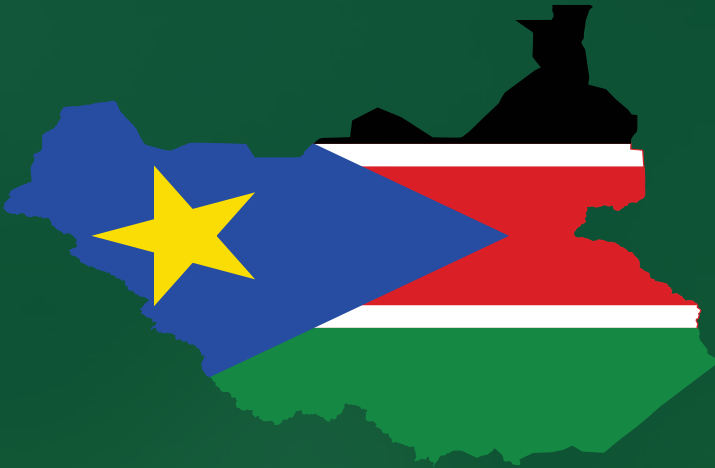
Group Structure



Universal Banking Model



Resilient Operations in South Sudan

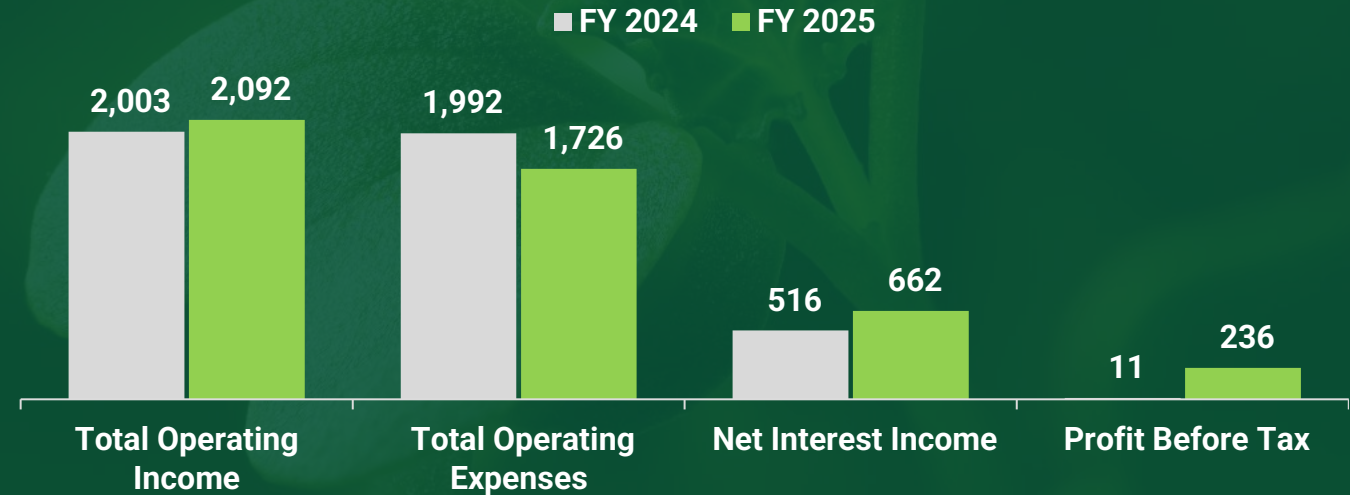
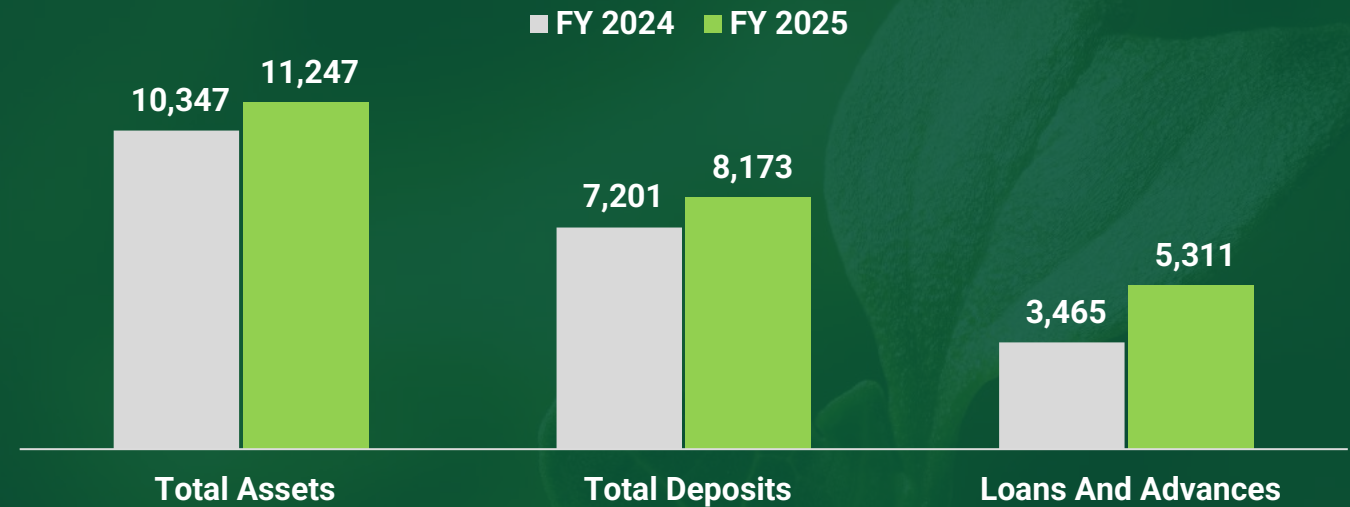


Branches

1. Juba
2. Kololo
3. Malakia
4. Nimule
5. Wau
6. Gudele

5 Non-oil
collection centers

Owns 31% of CIC
Africa Ltd - South
Sudan





CO-OPERATIVE BANK
We are you

Economic Updates



Operating Environment:

- 1 Stabilisation
- 2 Policy Easing
- 3 Credit Recovery

Stabilisation and Growth

Resilient Growth Amid Global Uncertainty

- Global growth at 3.3% supported by moderating inflation and technology related investments
- EMDEs outperforming advanced economies
- Policy-Driven Economic Stabilisation in Kenya
- Kenya GDP growth at 5% - supported by agriculture, service and industry recovery

Inflation & Monetary Policy – Supportive of Economic Activities

- Inflation declined to 4.1%
- CBK eased policy; CBR reduced to 9%
- Lower borrowing costs supporting credit demand

Exchange Rate – Currency Stability Strengthened Market Confidence

- Kenyan Shilling remained stable in 2025
- FX inflows supported by tourism, exports, remittances & debt creating inflows
- Improved investor confidence and trade financing conditions

2026 Outlook:

Resilient global growth (3.3%),
Easing CBR (8.75%),
Improving credit demand
Risks from fiscal and geopolitical pressures remain.

Fiscal Conditions & Liquidity

- Government borrowing influenced system liquidity
- Declining treasury yields supported reduction in funding costs
- Liquidity conditions gradually improving

Banking Sector Developments

- Gradual recovery in private sector credit growth
- Moderation in Cost of funds
- Improvement in asset quality across the industry

Operating Environment Shocks

- Geopolitical tensions and global trade uncertainty
- Climate variability affecting agriculture

Global &
Domestic
Resilience

Monetary
Policy
Easing

Currency
Stability

Improved
Liquidity

Banking
Sector
Outcomes

Shocks to the
Operating
Environment

2026
Outlook

3. We Are Agile

**SOUND EXECUTION OF OUR 'GOOD TO GREAT'
CORPORATE STRATEGIC PLAN**

'Good to Great' Strategy 2025-2029

1



Aggressive deepening of our dominance in Kenya and Region.

2



Primary provider of financial services to the Co-operative Movement in Kenya and the region.

3



Seamless and exceptional customer experience across our touchpoints.

4



Leverage digital transformation / innovation for operational efficiency supported by an engaged and highly productive workforce.

5



Optimal Enterprise Risk and Compliance in the dynamic environment.

6



Positive impact on the economy, society, and environment.

Scaling efficiency & growth with our 'Soaring Eagle' Transformation Pillars



Branch Transformation



MSME Transformation



Sales Force Effectiveness



**Shared Services & Digitization-
"The Digital Bank"**



NPL Management & Credit Processes



Cost Management



Data Analytics



Staff Productivity



Maintaining Strong Stability Drivers



Proactive Enterprise Risk Management Framework.



Proactive Regulatory compliance



Strong Capital Buffers: Total Capital to Risk Weighted Assets (RWA) **22.6%** (Regulatory 14.5%)



NPL Management

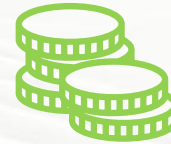
- Cumulative provisions Kshs. 48.9B from 2020; Group NPL ratio has come down to 15.4% in FY25.
- NPL Coverage ratio at 75%, with security 98.3%
- Continuous Process improvement for enhanced End to End Turn Around Time on all loan applications.
- Proactive early delinquency & NPL management through Connecting with our customers, collecting and offering customer-centric solutions.
- Focused credit management projects through:
 - ✓ Credit Review Implementation Project “Project Kilele”
 - ✓ Decentralization of loan portfolio management enabling Project 3C (Connect, Collect and Cure).
 - ✓ Project Connect & Build (CB) for co-creating solutions with our customers to grow the loan book and increase product holding.



Up to **50.9% of our loan Book** is in Consumer banking which is low risk and performing well.



Optimal risk spread with across various assets.



Cost Management with a CIR of 56.6% with provisions and CIR of 46.3% without provisions

Digital Transformation Gains



Mobile Internet



ATM & Agency CDM

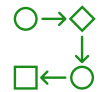
>90% of transactions on alternative channels enhancing operational efficiency.



New core banking system operational in Kenya (June 2023), South Sudan (March 2024) & Kingdom Bank (Ongoing), enhancing innovation, customer experience and analytics.



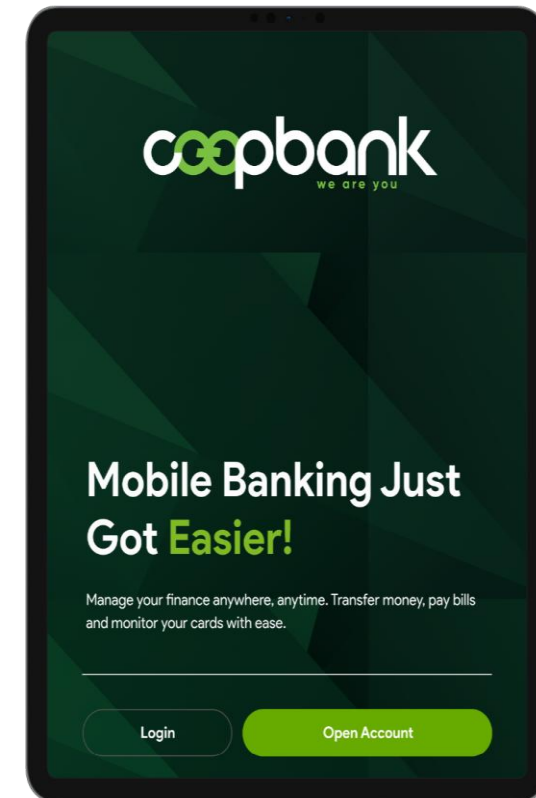
Optimization of Omnichannel integrating accessibility and user experience.



Enhanced digitization of internal bank processes and engagement platforms as part of our **Digital Transformation Strategy**.



Advanced data analytics supporting data-led sales, reporting and decision making.



Accessible and Convenient Finance with E-Credit

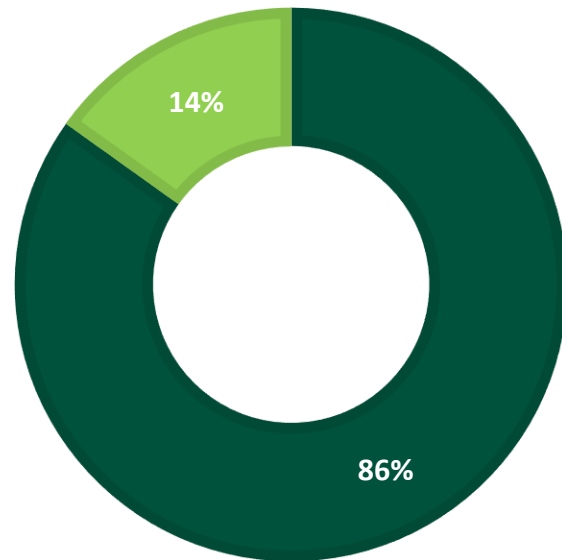
Kshs. 501.75 Bn

Disbursed
since inception.

Kshs. 72.95 Bn

Disbursed YTD

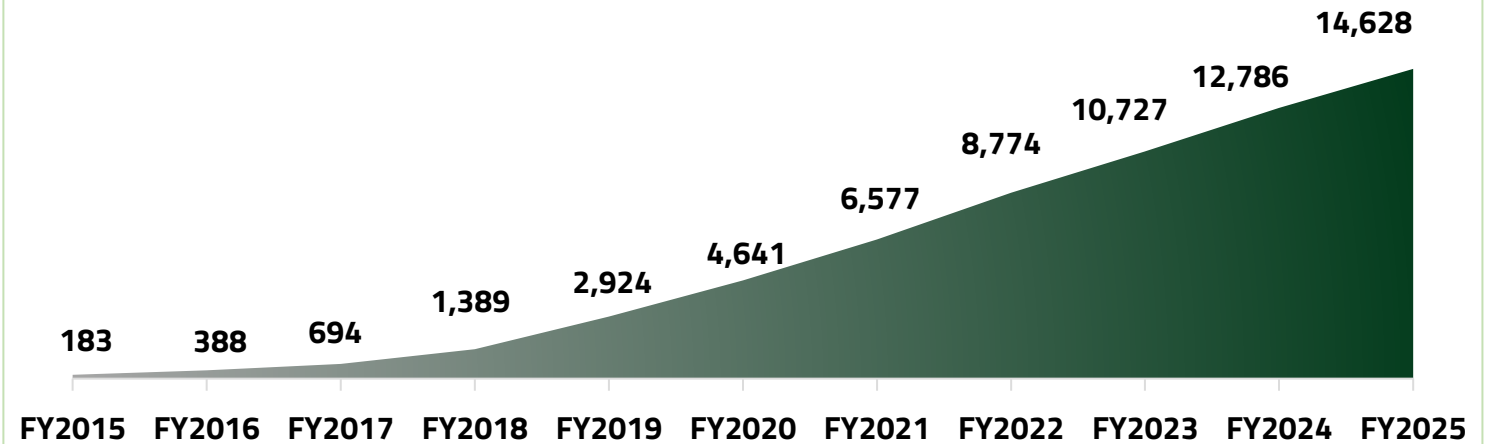
% CONTRIBUTION TO YTD DISBURSEMENTS



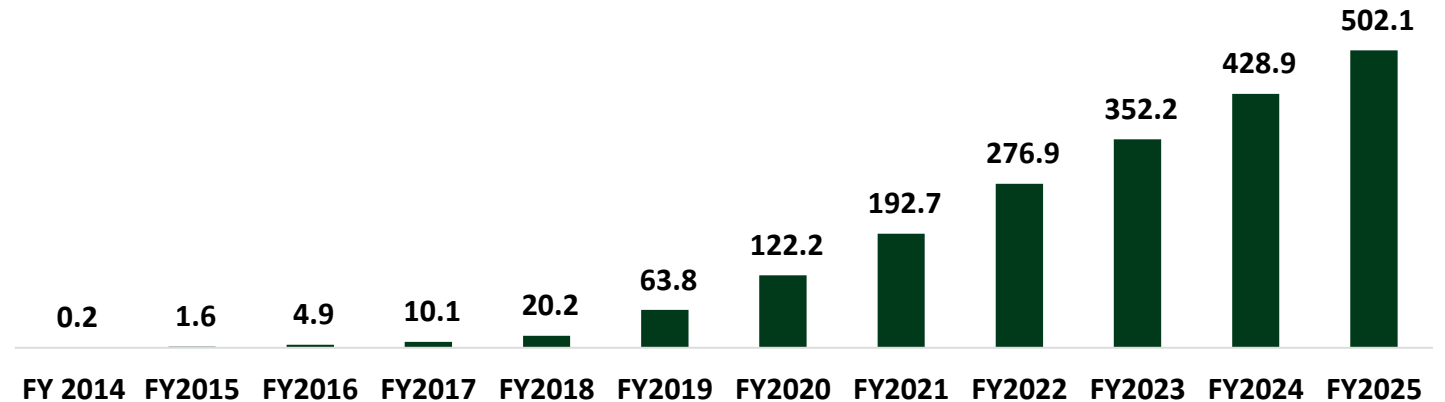
Flexi

Business Plus

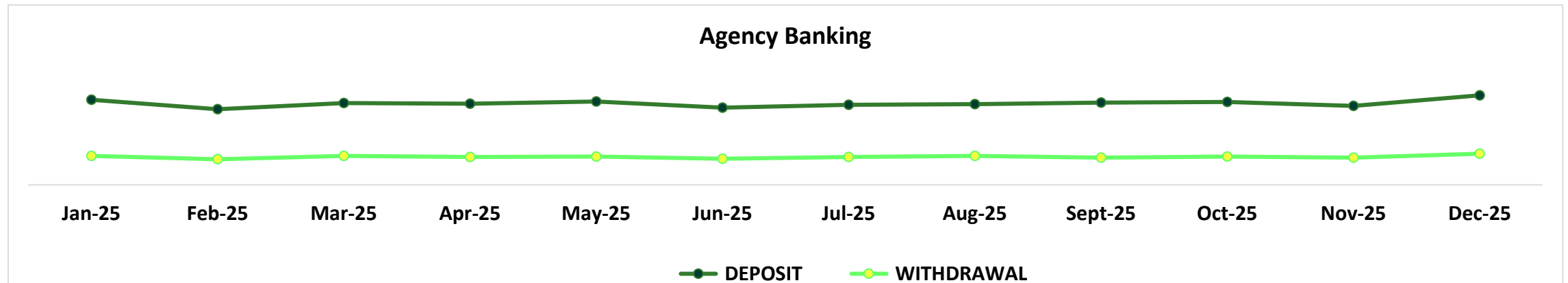
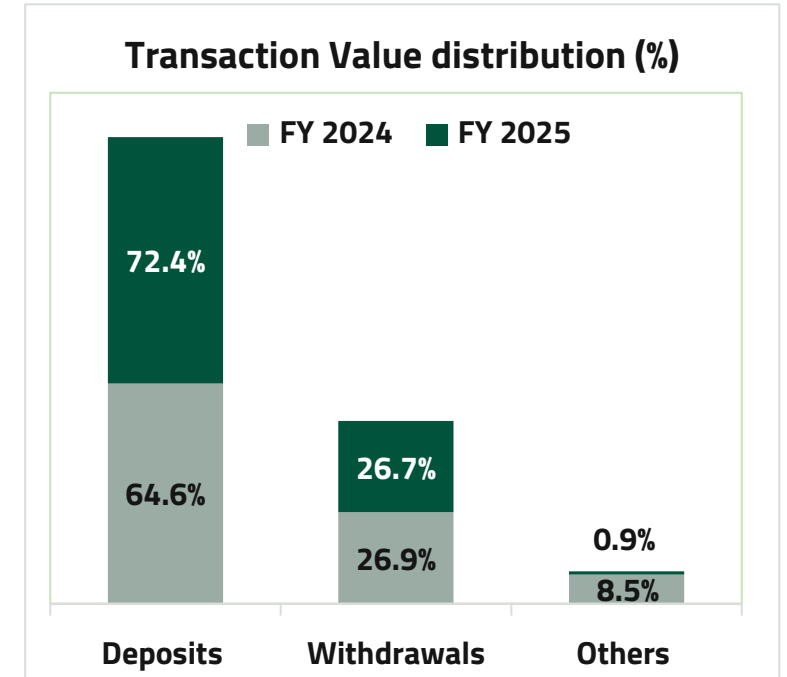
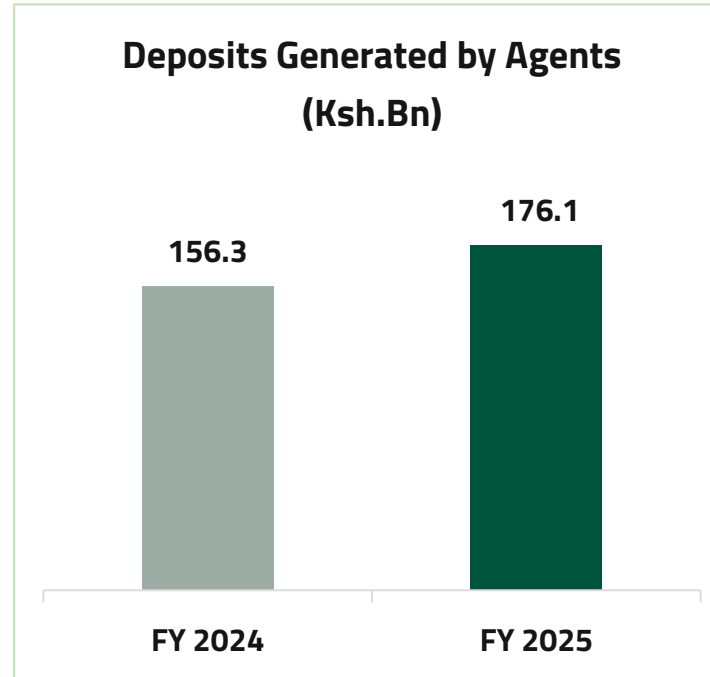
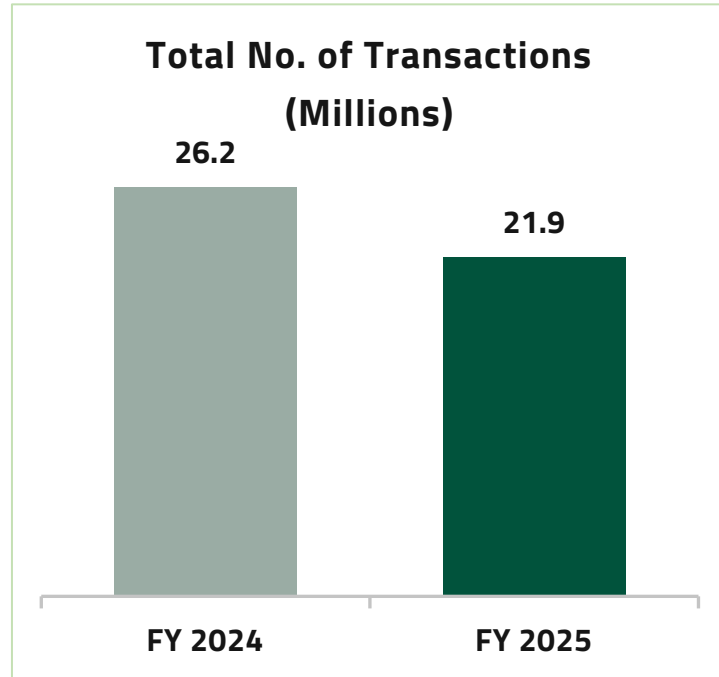
Cumulative Mcoop Cash Loan Customer Numbers (In '000')



Cumulative Mcoopcash Loan Book
(Kshs. B)



Increasing Reach with Agency Banking



Value for our Customers and People



MSME Banking

71,000 Customers trained

259,163 customers onboarded on MSME Packages Gold, Silver & Bronze



Non-Financial Services

- **155** Webinars
- **200** Clinics
- **95** networking forums
- **7** International Business trips



Youth and Women Banking

Tailored propositions to support Youth and Women



Staff Productivity

- Supporting new ways of working – Agile & Digital Workforce
- Sales Force effectiveness (SFE)
- High Performing Teams (HPT) Culture
- Talent management deepening our capabilities
- Training & Leadership Development
- Performance Management Rhythms, Rewards & Recognition
- Robust Staff Wellness Programs



Sustainability



Dedicated Sustainability Focus



1.ESG Policy: Co-operative Bank Group is committed to sustainable development and integrating environmental, social, and governance (ESG) principles throughout all operations and business activities.

2.Dedicated Sustainability Unit with ESG Champions in all Strategic Business Units, governed by the ESG Committee.

3.Environmental and Social Management System (ESMS): We use an ESMS, aligned with IFC Performance Standards and national regulations which includes risk categorization, due diligence, action plans, and monitoring

4.Loans are screened for environmental and social risks.

5.ESG Risk Management: We integrate ESG risk, that include environmental risks, into our existing risk management processes.

- Kshs.100M Co-op Bank Capacity-building & Technical Fund
- Co-op Bank provides the Direct Settlement System for Coffee benefiting all market players, especially farmers.
- **Co-opbank Soko** - a digital marketplace that connects the agriculture value chain.

Impact drivers

- MSME Financing
- Youth Banking
- Women Banking
- Employment Generation
- Food Security
- Affordable Housing
- Green Buildings
- Renewable Energy
- Access to Essential Services
- Affordable Basic Infrastructure
- Sustainable Food & Agriculture
- Sustainable Water & Waste Management

Co-op
Foundation
11,834
Students
Sponsored
on Scholarship
Program

Co-op
Consultancy
3,879
Consultancies
to the Co-operative
Movement.

Local Suppliers
95.8%
of our sourcing
is local
19.8B
paid to Suppliers
in FY2025

MSME Focus
259,163
onboarded to MSME
Gold, Silver and
Bronze.
71,000
Trained

Integration of Sustainable Principles

We have established the governance and data foundation necessary to translate our ESG strategy into measurable financial and risk outcomes. We are on track to meet critical regulatory and commercial milestones. We continue to build robust systems, manage risk, and capture new opportunities in the sustainable finance landscape.

Embedding ESG Internally

- ✓ Targeted Training: Specialized ESMS capacity building to key Bank departments and Sacco partners.
- ✓ KBA SFI E-Learning: Driving bank wide uptake on the Kenya Bankers Association E-learning platform.
- ✓ Staff enrolment into the GetInvest - Renewables Academy (RENAC) program to build technical expertise in originating, assessing, and managing Renewable Energy opportunities.

Strengthening E&S Risk Management

- ✓ We have fundamentally upgraded our E&S due diligence framework to enhance efficiency and robustness.
- ✓ System Enhancements: We are actively implementing system improvements to enhance accountability and workflow management in our Environmental & Social Management System (ESMS).

Sustainable Finance & Partnerships

- ✓ We are actively structuring and capturing new opportunities in the sustainable finance market.
- ✓ Strategic Partnerships: We continue to advance high-value partnerships with various organizations to spur progress in our sustainable finance strategy.
- ✓ Renewable Energy Pipeline: We are actively developing our green financing portfolio, focusing on Solar, Clean Cooking, and Hydropower opportunities.

Climate Action & Governance

Our climate strategy advanced significantly, moving from assessment to implementation.

- ✓ Climate Risk Assessment: Climate Risk Stress Testing and GHG Baseline Report completed
- ✓ Regulatory Readiness: Established a Climate & Taxonomy Data Working Group, known as the Green Data Lab. To enhance our green data governance and technical readiness to meet regulatory reporting requirements.
- ✓ Policy & Product: E-Mobility product program launched, a key step in our sustainable product offering.

Environmental Social and Governance (ESG) Policy Statement

The Co-operative Bank Group objectives under this policy are:

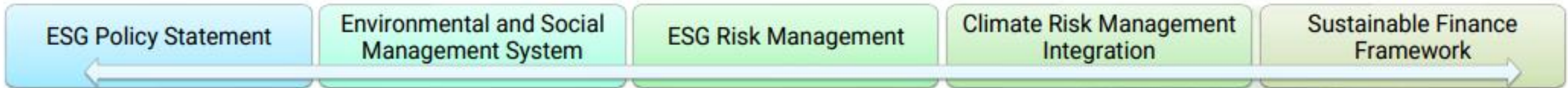
- To incorporate strong environmental, social, and corporate governance principles throughout all operations and business activities.
- To comply with relevant national laws, regulations and agreements on the environment, climate change, health, safety, and social issues to which the Group subscribes to and in the countries it operates in.
- To evaluate and manage environmental and social impacts when developing policies, products, or major change initiatives.
- To communicate this policy to internal and external stakeholders as part of regular reporting.

This policy shall be applied enterprise-wide and covers all material operations, including geographies, corporate functions, and business units of the Co-operative Bank (Co-op Bank) Group.

DR. GIDEON MURIUKI
CBS, MBS GROUP MANAGING DIRECTOR & CEO
NOVEMBER 2022



ESG Policy Framework



Our ESG Policy Framework is a cohesive structure guiding Co-operative Bank's strategic approach to Environmental, Social, and Governance (ESG) obligations. It orchestrates an interconnected network of policies, procedures, and guidelines, creating a robust ESG management system and provides a robust blueprint for managing and mitigating ESG-related risks, as well as for leveraging opportunities to enhance our positive impact on society and the environment



Sustainability Awards

Most Sustainable Bank in Kenya

- 1 Most Innovative Bank
- 2 Best in financing Commercial Clients
- 3 Best in Financing MSMEs
- 4 1st Runners up – Best In promoting People with Disability (PWD)
- 5 2nd Runners Up – Best in Promoting Gender Inclusivity



**Asanteni
Saana!**

**OVERALL
WINNER**

Sustainable Finance Catalyst Awards



Award-Winning Brand



15-17
SEPT
2025 | **GLOBAL**
SME FINANCE
FORUM

Official Side Event



JOHANNESBURG, SOUTH AFRICA



2025 Global SME Finance Awards Winner

Product Innovation of the Year - Africa

globalsmefinanceforum.com

Hosted by  **SME FINANCE
FORUM**

MANAGED BY  **International
Finance Corporation**
WORLD BANK GROUP

Organised by  **GFTN**
GLOBAL FINANCE & TECHNOLOGY NETWORK

Award-Winning Brand



FiRe AWARDS 2025

ESG Reporting (GRI Category)

ENERGY MANAGEMENT AWARDS (EMA) 2025

Winner, Financial Institution Award

INFOSYS FINACLE INNOVATION AWARDS 2025

- Transformation excellence - Platinum winner
- ESG-led innovation – Platinum winner

GLOBAL FINANCE - WORLD'S BEST BANK AWARDS 2024

Best Bank in Kenya

ASIAN BANKER GLOBAL MEA AWARDS

Best SME Bank in Kenya - 2024

CIO 100 AWARDS 2024

Banking Category – Overall Winner

PESALINK BANK AWARDS 2025

Ecosystem Collaboration Champion

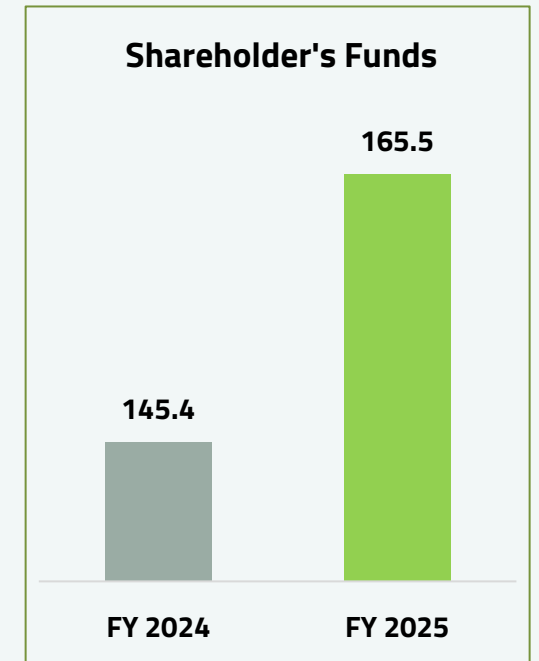
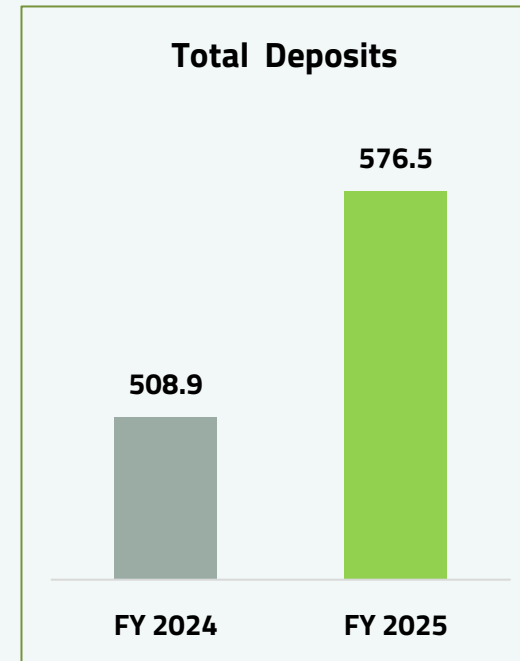
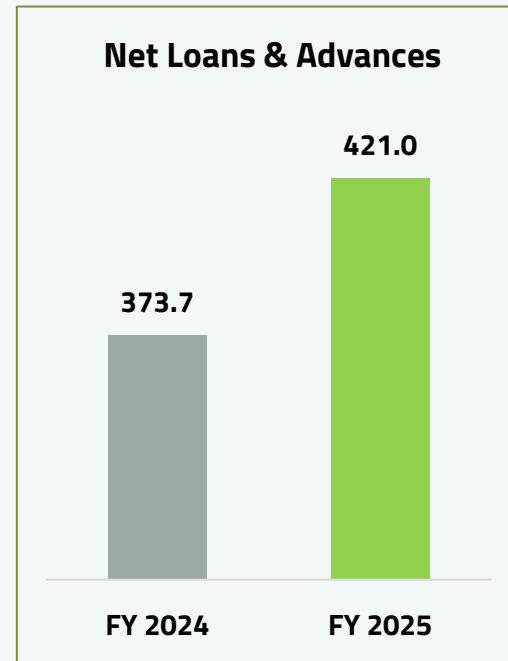
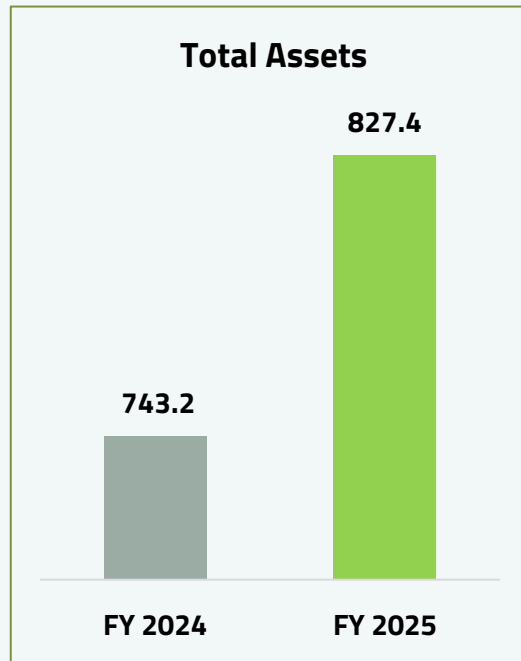
VISA CLIENT & PARTNER AWARDS 2025

Best Bank in MSME Enablement

Group Financial Performance



Strong Financial Position (Kshs. Billions)

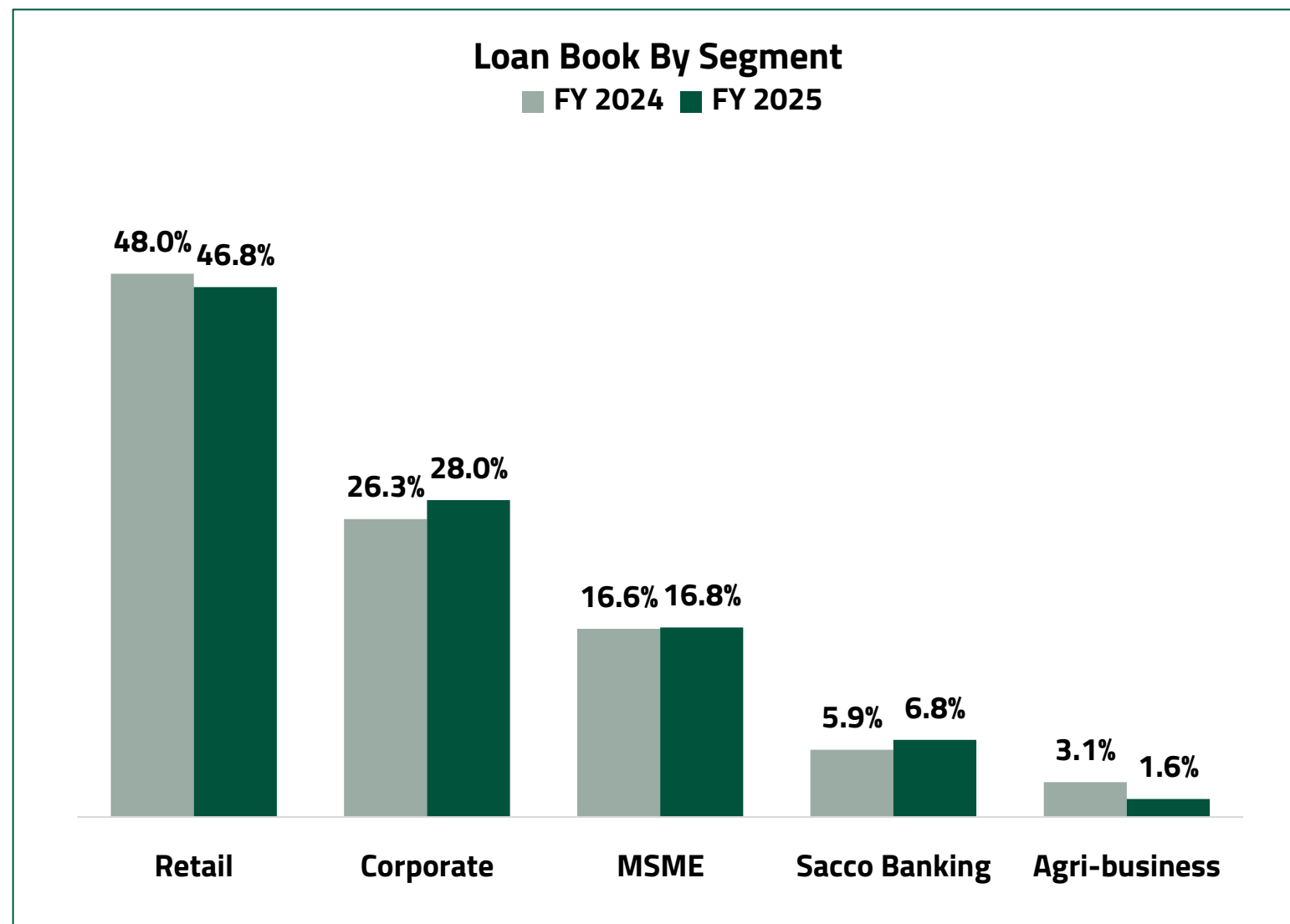


Strong Financial Position

<i>Kshs. Billions</i>	FY 2025	FY 2024	% Growth	
Total Assets	827.4	743.2	11.3%	↑
Net Loan book	421.0	373.7	12.7%	↑
Government Securities	244.9	217.6	12.6%	↑
Total Deposits	576.5	508.9	13.3%	↑
Borrowed Funds	61.7	55.4	11.4%	↑
Shareholder's Funds	165.5	145.4	13.8%	↑

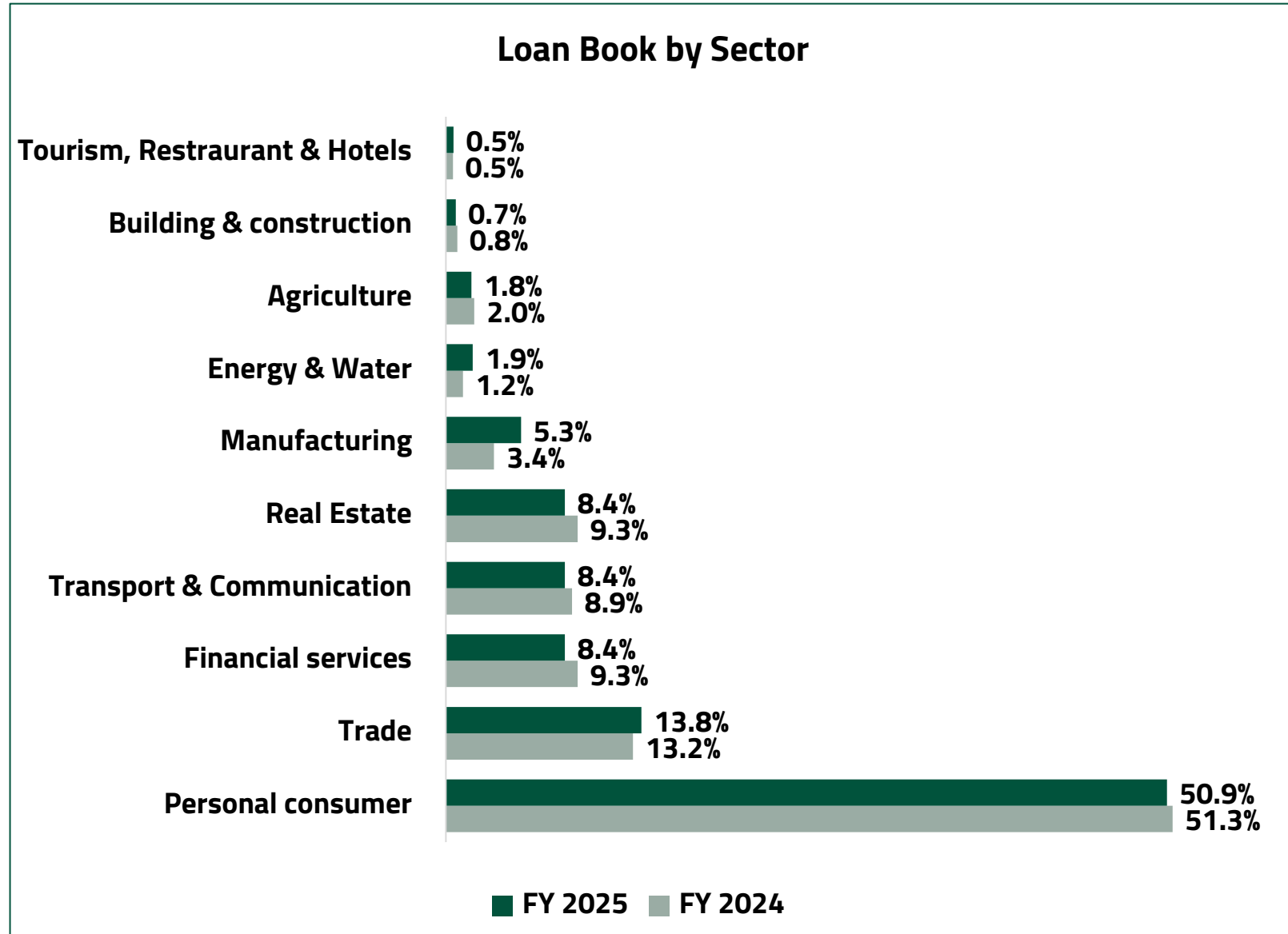
Diversified loan book

- Diversified across segments.
- Highest book is in Personal Banking;
 - Check off; deductions are done at source.
 - Diversified across various Government/quasi-government employees.
 - Appraisal of both employer and employee for optimal risk-return.



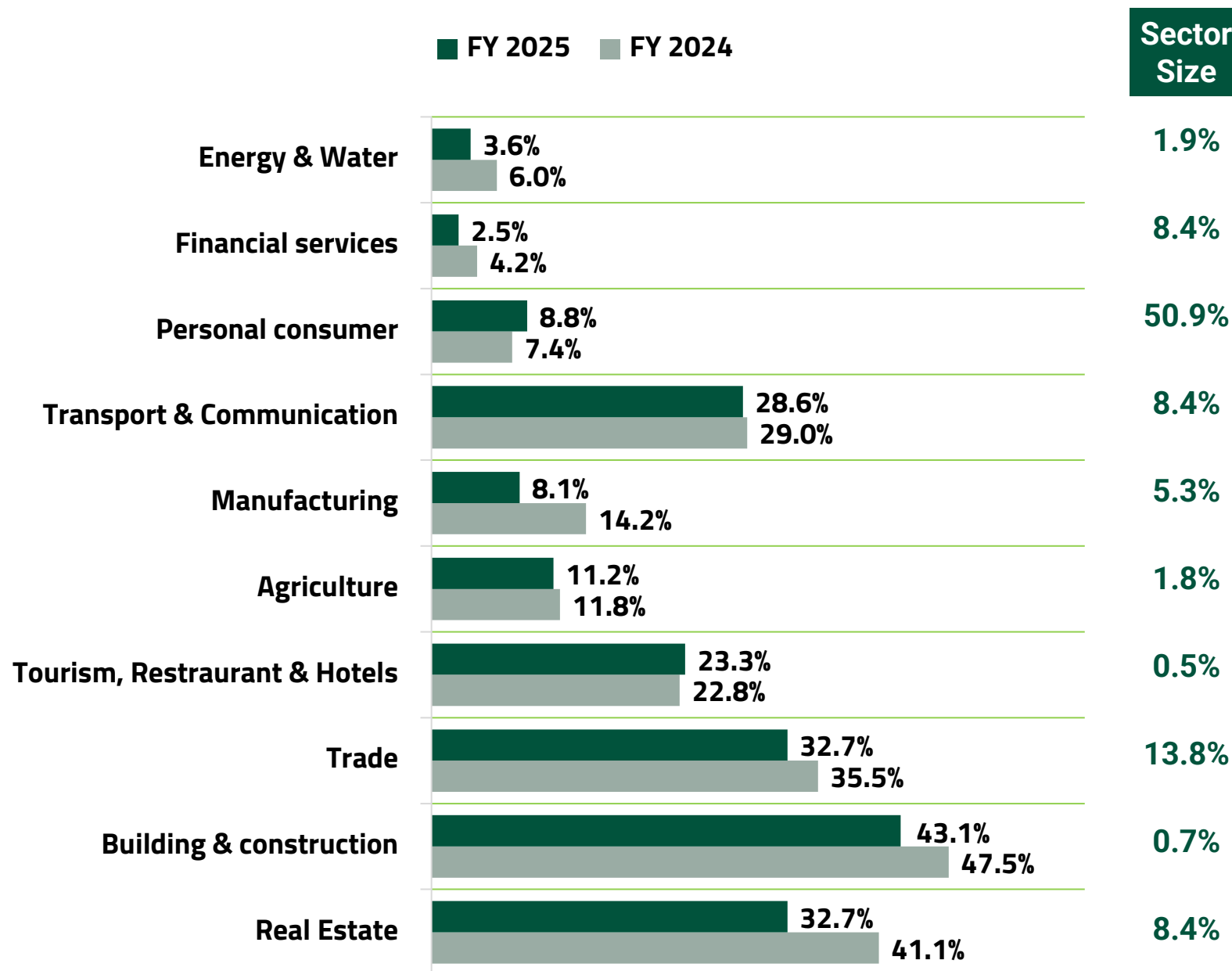
Diversified loan book

- Diversified across sectors
- 50.9% in Personal consumer which is performing well



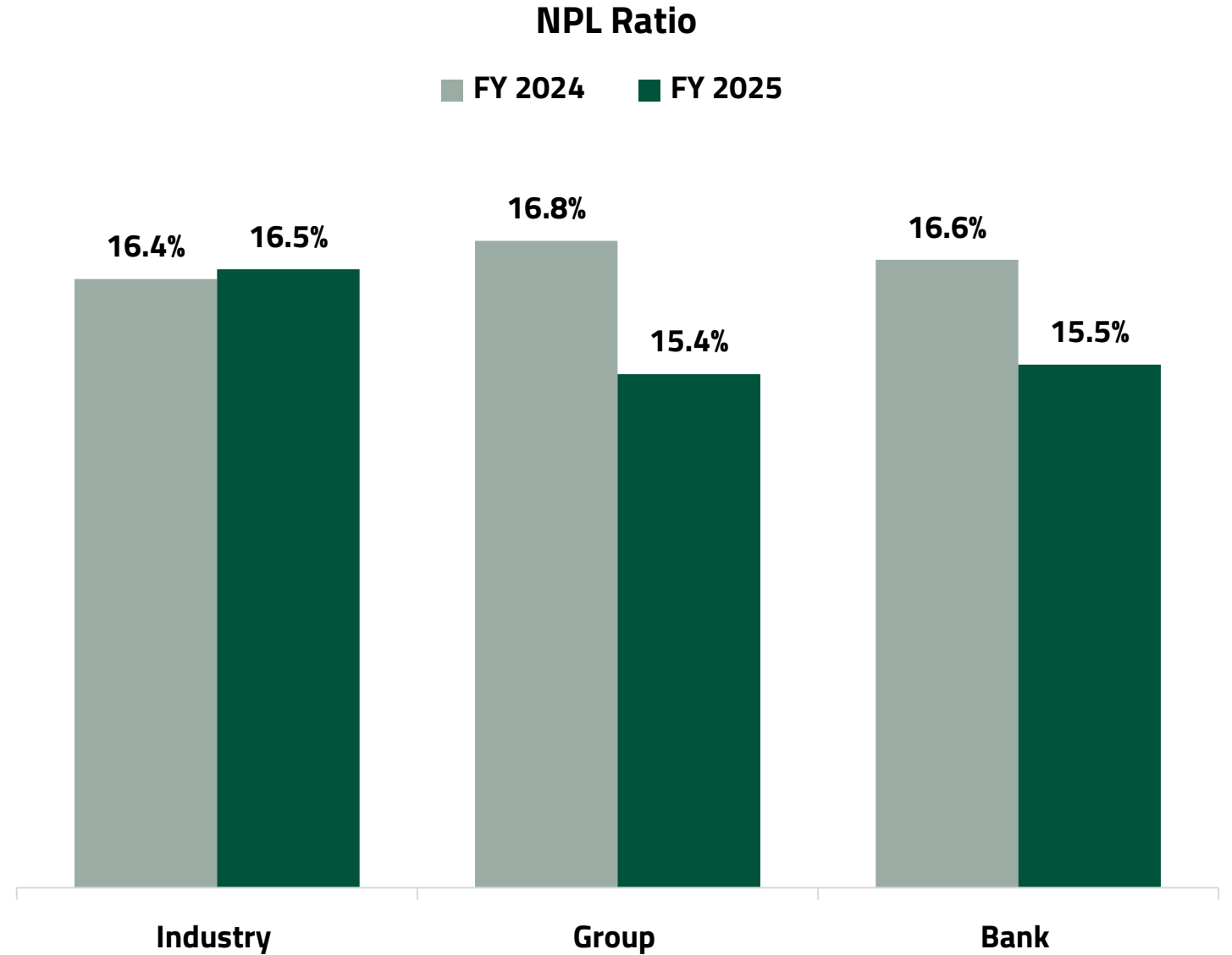
Portfolio Trends: Sector NPL

Low relative
exposure
in high-risk sectors

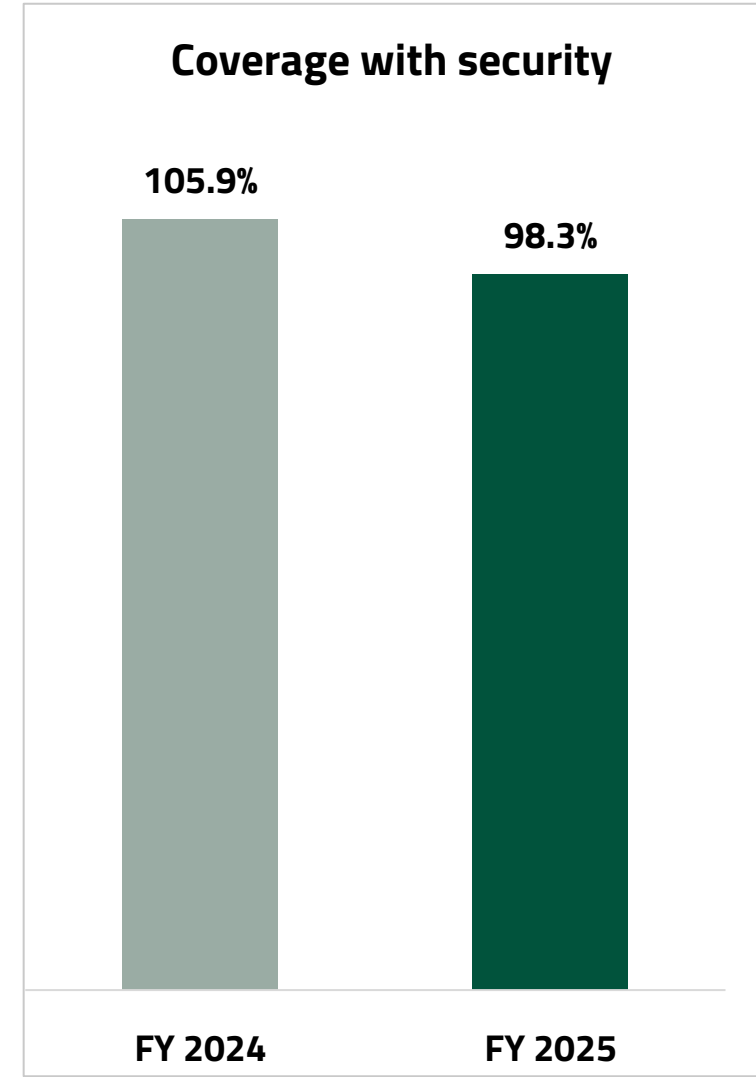
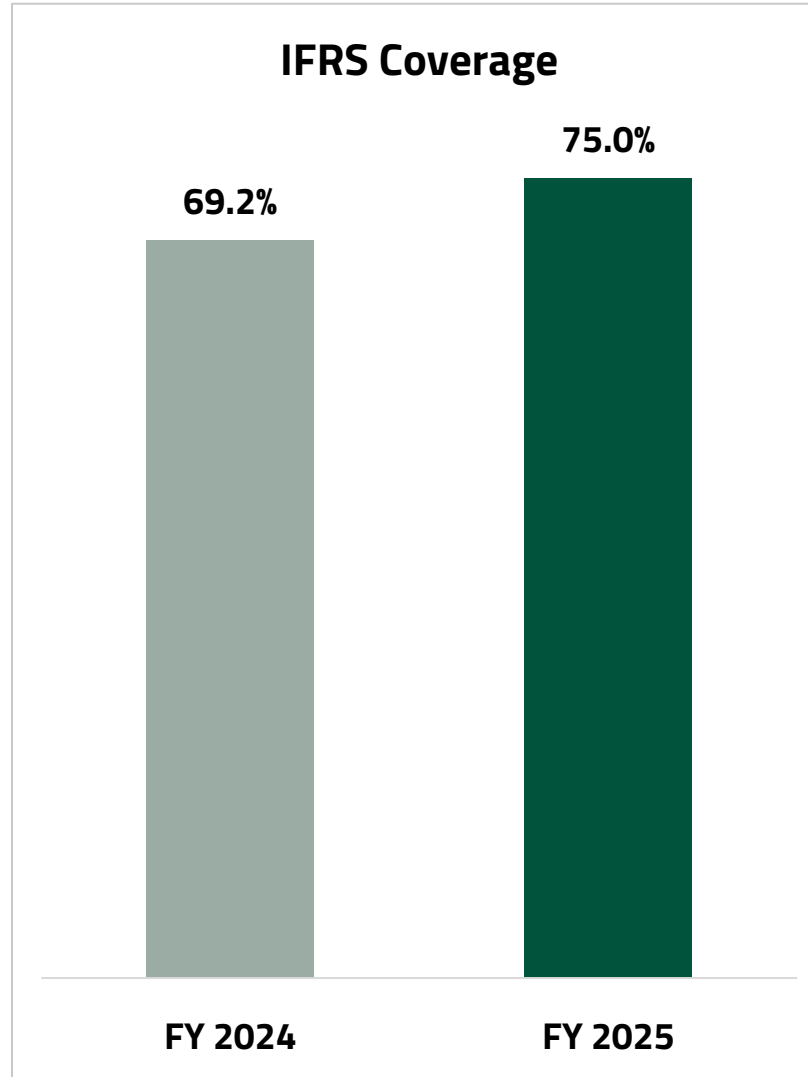
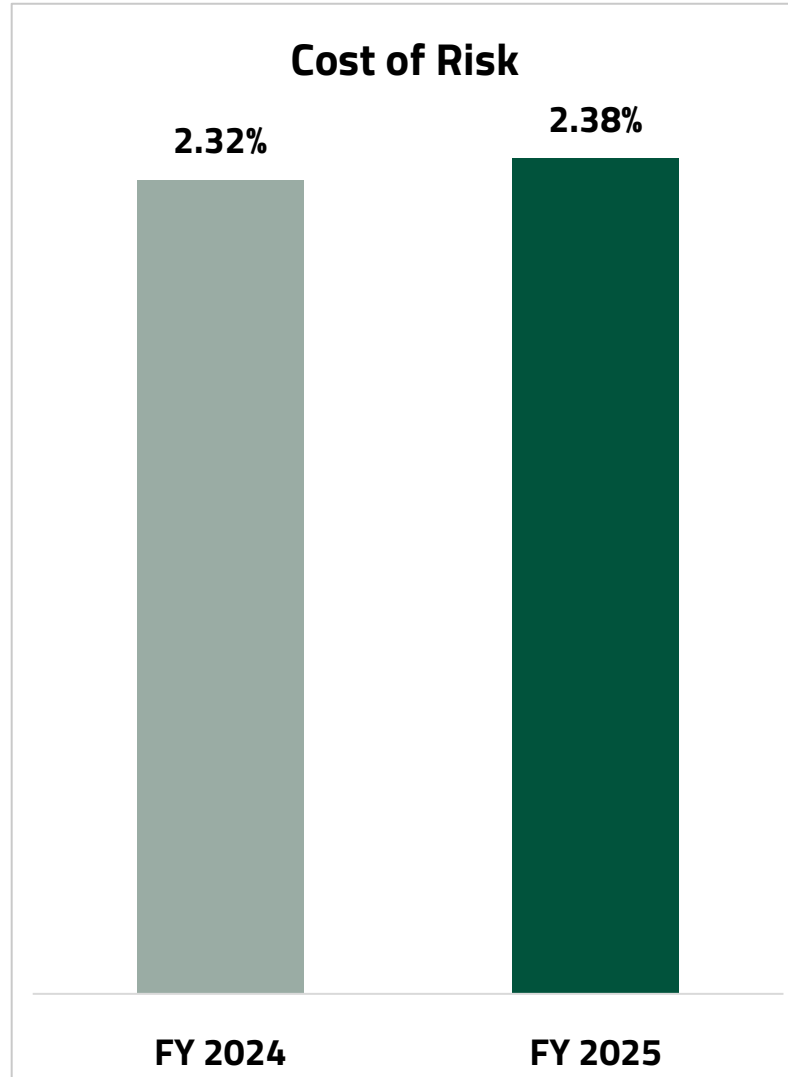


Supporting NPL Management;

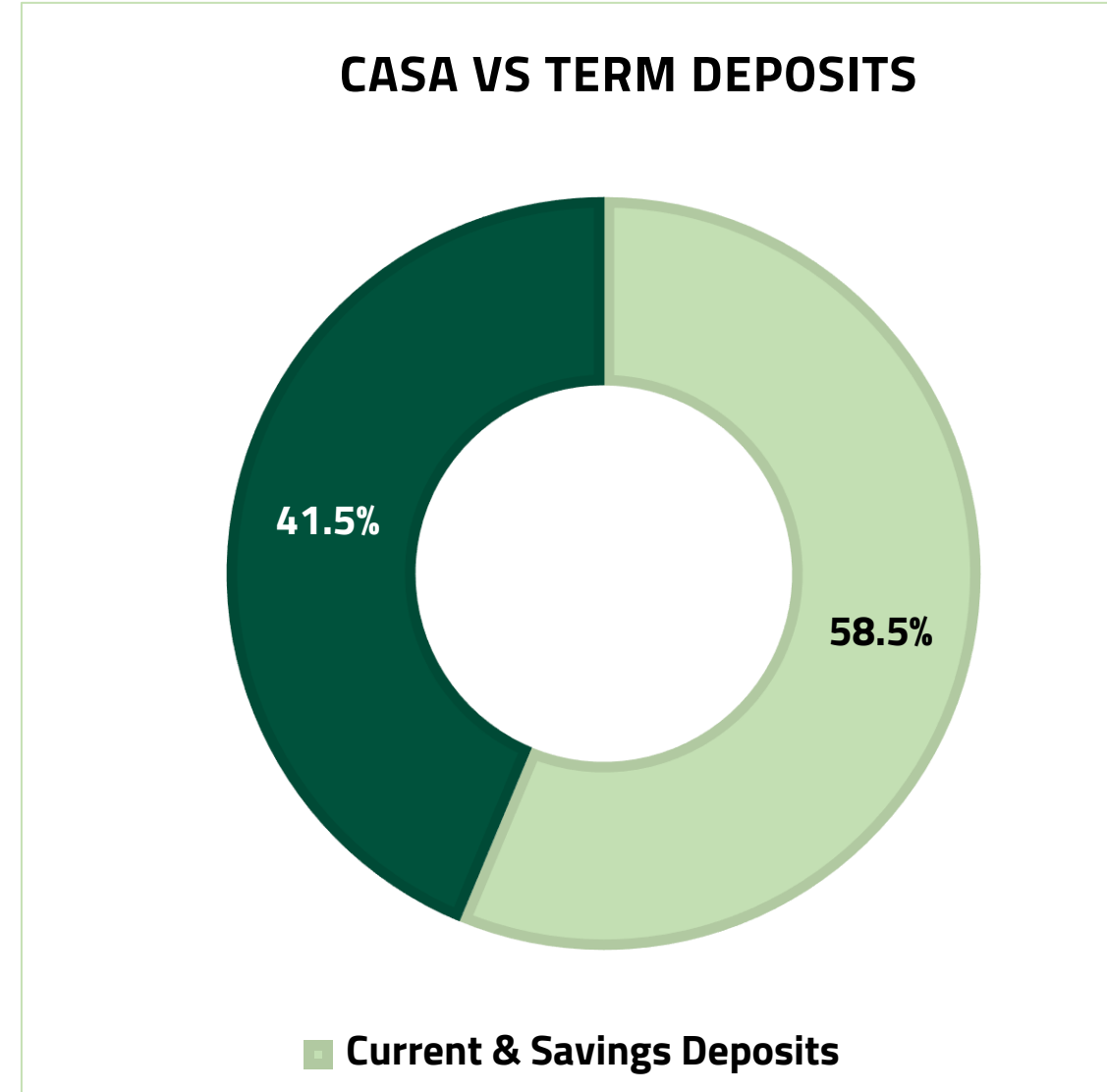
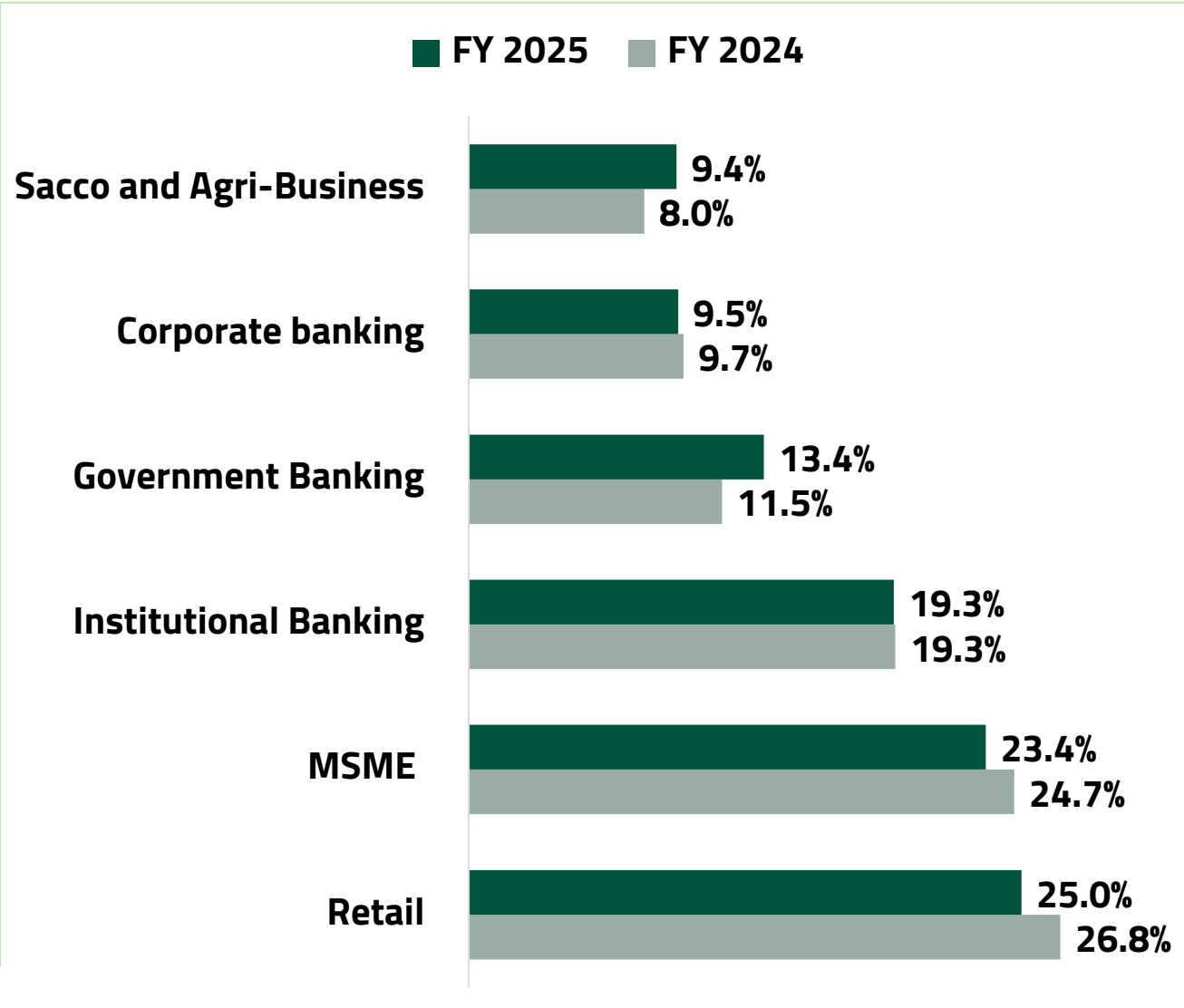
- Proactive Credit Management Strategies.
- Business Growth.
- Consumers and Businesses resilience amid tight economic environment.



IFRS Coverage up to 75% in FY2025.

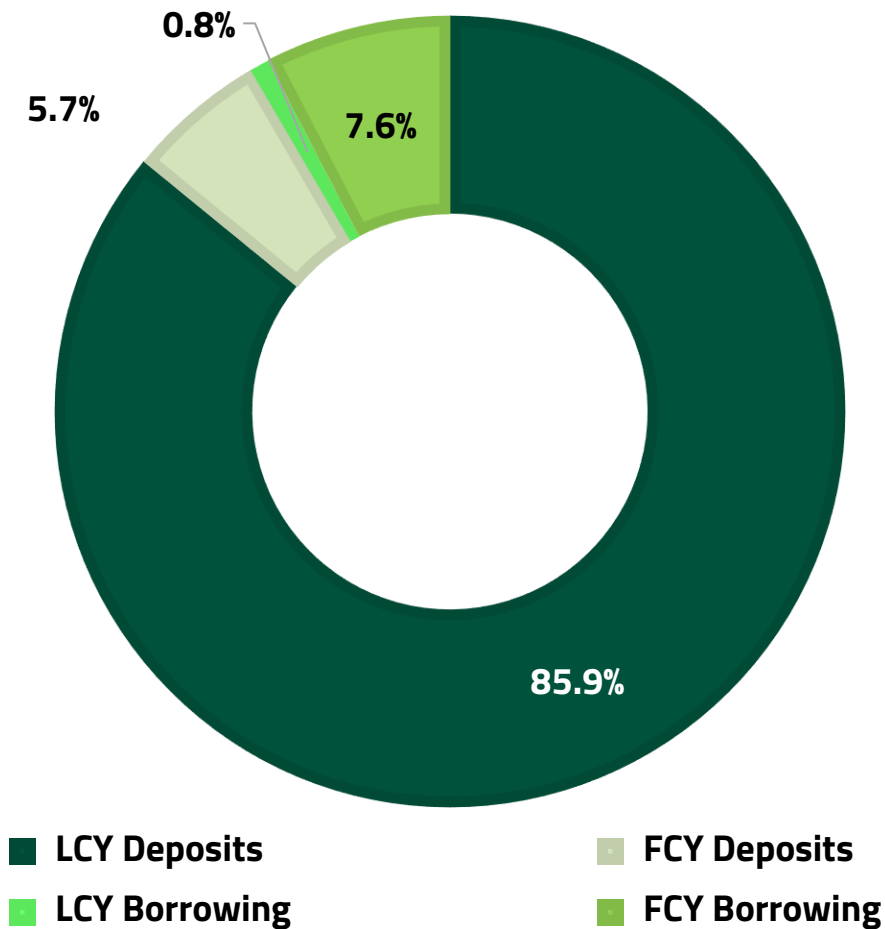


Well-diversified Liability Portfolio

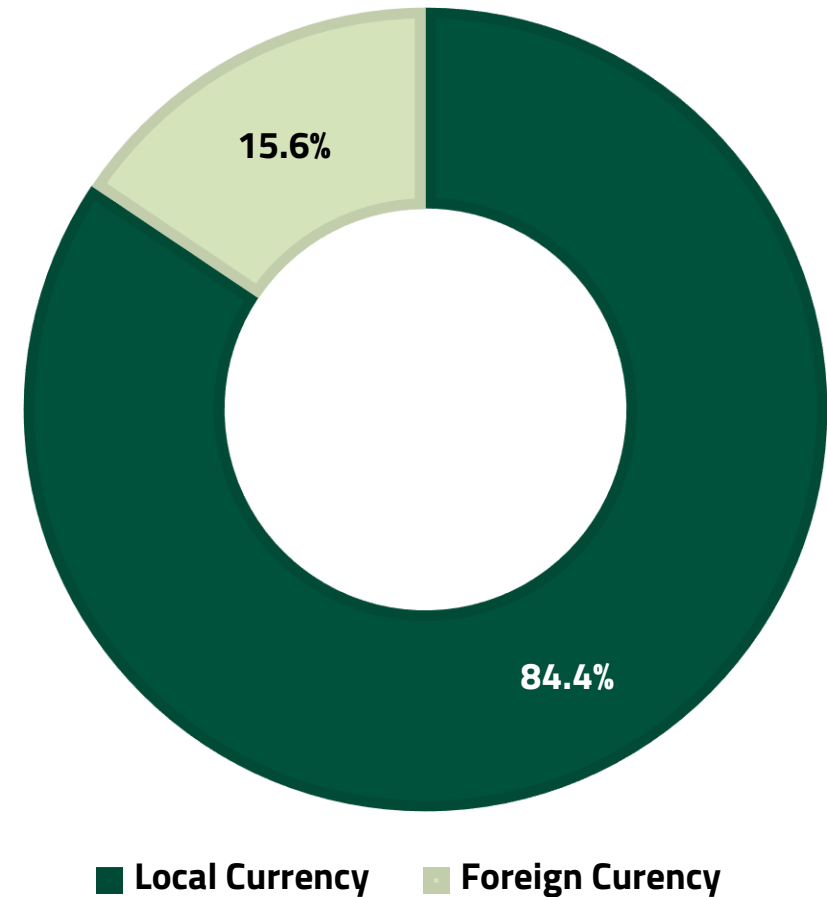


Optimally balanced Kenya Shilling Asset & Funding Book

**FUNDING:
LOCAL VS. FOREIGN CURRENCY**



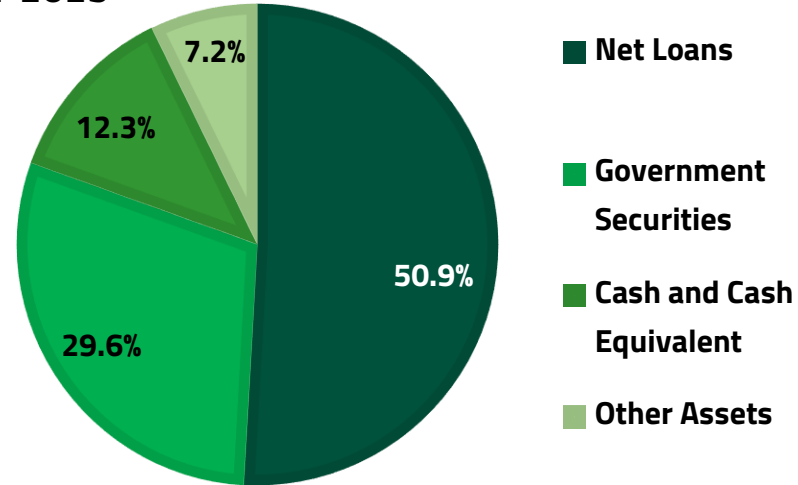
**ASSETS:
LOCAL VS. FOREIGN CURRENCY**



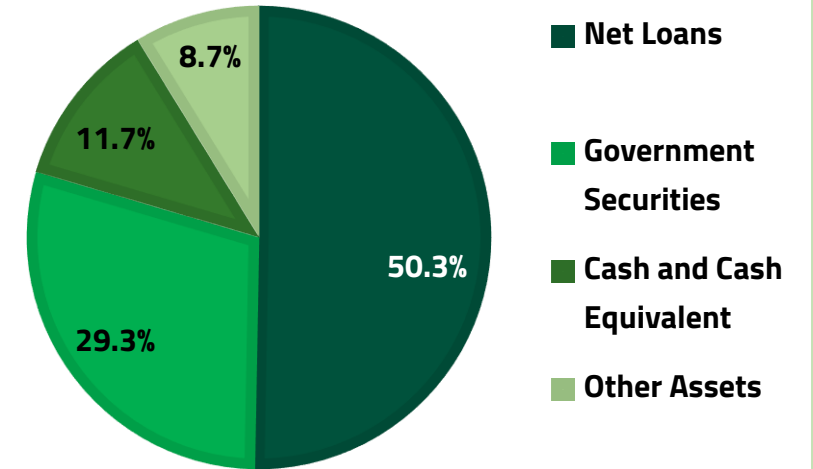
Asset and Funding Mix

Asset Categories

FY 2025

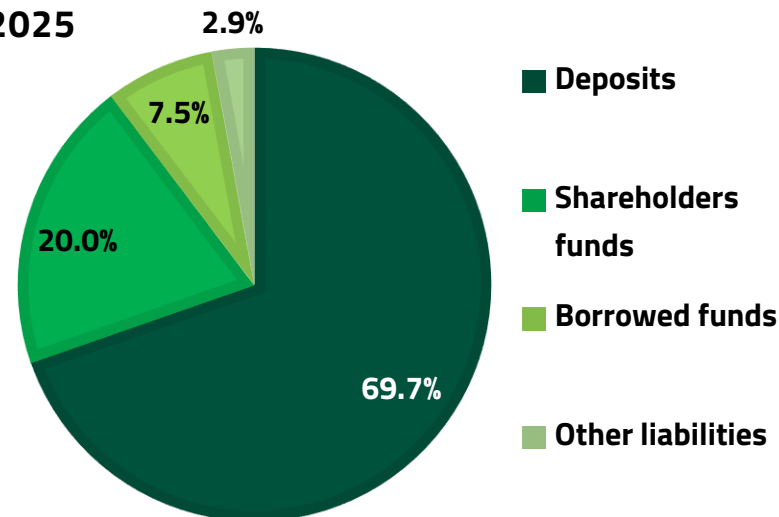


FY 2024

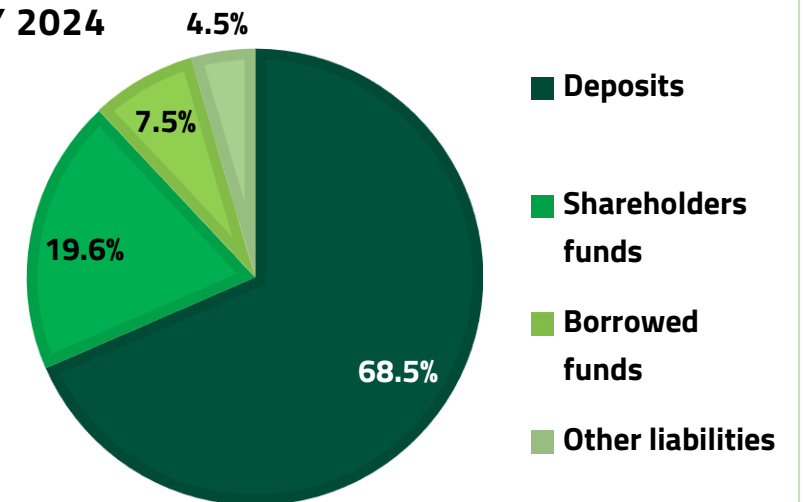


Funding Categories

FY 2025



FY 2024



Strong Liquidity to Support Investments

Liquidity ratio

59.9%

60.0%

FY 2024

FY 2025

**Total Loans to Total
Deposits**

73.4%

73.0%

FY 2024

FY 2025

**Loans /(Deposits+Borrowed
Funds)**

66.2%

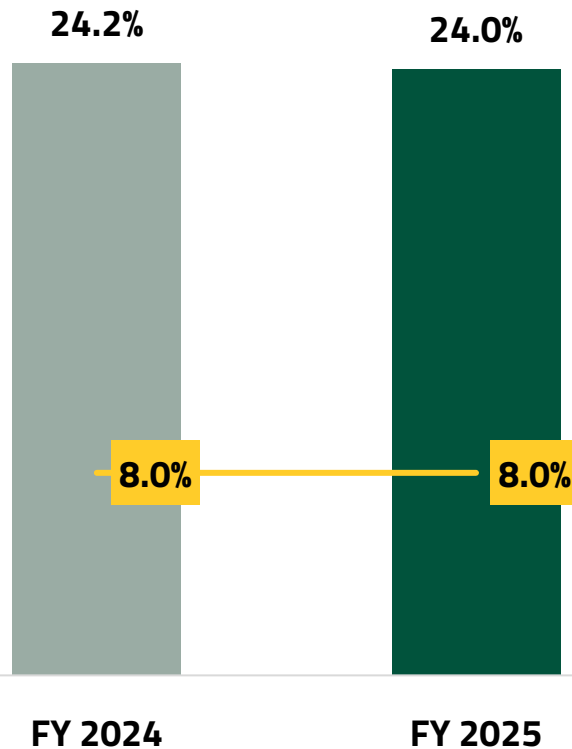
66.0%

FY 2024

FY 2025

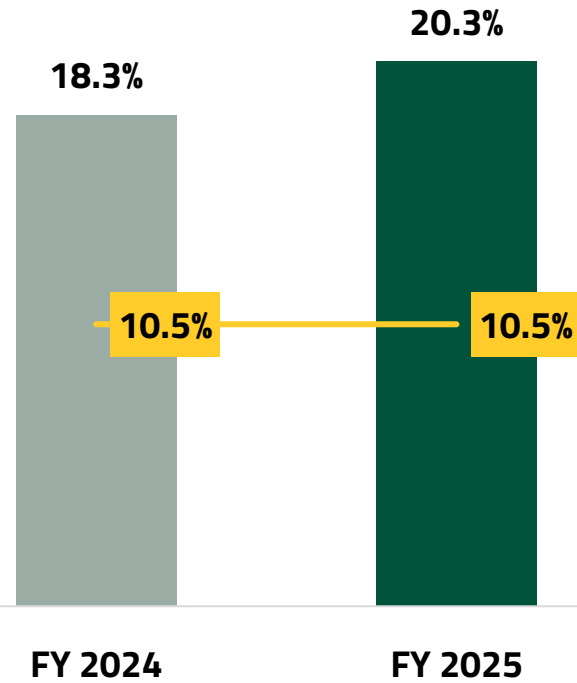
Capital buffers for sustainable growth

Core capital to Total Deposits



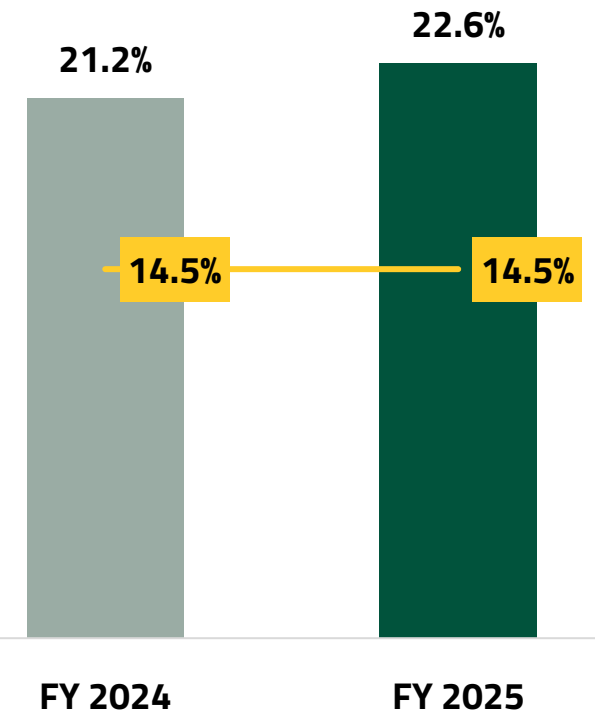
Core capital to Total Deposits
Minimum Statutory ratio

Core capital to Total risk weighted assets



Core capital to Total risk weighted assets
Minimum Statutory ratio

Total capital to Total risk weighted assets



Total capital to Total risk weighted assets
Minimum Statutory ratio

Sustainable Profitability

Kshs. Billions	FY 2025	FY 2024	YoY Change	
Total Interest Income	93.14	86.25	8.0%	↑
Total Interest Expenses	30.29	34.73	-12.8%	↓
Net Interest Income	62.85	51.52	22.0%	↑
Fees and commissions on loans and advances	10.48	11.03	-5.1%	↓
Other Fees and commissions	12.90	12.07	6.9%	↑
Foreign exchange trading income	3.66	4.97	-26.5%	↓
Other income	2.00	1.05	90.8%	↑
Total Operating Income	91.89	80.65	13.9%	↑
Loan loss provision	9.46	8.66	9.2%	↑
Staff costs	20.82	18.32	13.6%	↑
Other operating expenses	21.71	19.70	10.2%	↑
Total Operating expenses	51.99	46.69	11.4%	↑
Profit before tax and exceptional items	39.90	33.96	17.5%	↑
Exceptional items-Share of profit of associate	0.39	0.82	-52.3%	↓
Profit Before Tax	40.29	34.78	15.8%	↑
Income tax	10.53	9.32	13.0%	↑
Profit After Tax	29.75	25.46	16.9%	↑

Subsidiary Contribution

	FY 2025	FY 2024	Growth	Growth %
Co-operative Bank of Kenya Ltd	36,051,257,135	31,303,207,094	4,748,050,041	15.17%
Co-operative Bank of South Sudan Ltd	236,319,385	11,065,126	225,254,259	2035.71%
Co-opTrust Investment Services Ltd	936,178,811	386,444,651	549,734,160	142.25%
Co-op Bancassurance Intermediary Ltd	1,486,422,255	1,201,659,841	284,762,414	23.70%
Kingdom Securities Ltd	129,692,012	74,208,668	55,483,344	74.77%
Kingdom Bank Ltd	1,125,317,665	1,068,426,883	56,890,783	5.32%
Co-op Bank and Subsidiaries Total	39,965,187,263	34,045,012,262	5,920,175,001	17.39%
Associates share of profit	322,247,161	735,307,031	(413,059,869)	-56.18%
Group Profit Before Tax	40,287,434,425	34,780,319,293	5,507,115,132	15.83%
Income Tax Expense	10,532,905,678	9,323,974,105	1,208,931,573	12.97%
Group Profit After Tax	29,754,528,747	25,456,345,188	4,298,183,559	16.88%

Key Ratios

Ratio	FY 2025	FY 2024	
RoAA	3.8%	3.6%	^
RoAE	19.1%	19.7%	✓
EPS	5.07	4.34	^
Ave Return of Interest Earning Assets	0.14	0.14	—
NIM on Loans	10.1%	8.5%	^
NIM on Interest Earning Assets	8.5%	7.6%	^
CIR Group <i>(with provisions)</i>	56.6%	57.9%	✓
CIR Group <i>(without provisions)</i>	46.3%	47.2%	✓
CIR Bank <i>(with provisions)</i>	56.4%	57.4%	✓
CIR Bank <i>(without provisions)</i>	45.4%	46.0%	✓
Non-Funded to Total Operating Income	31.6%	36.1%	✓
Cost of Customer Deposits	6.9%	6.1%	^
Cost of Funds	5.0%	6.4%	✓

Dividend Declaration

The Co-operative Bank Group is pleased to announce a recommended final dividend of **KSh 1.50 per share**, amounting to **KSh 8.8 billion**, reflecting the Group's continued strong financial performance and strategic execution.

This follows an earlier interim dividend of **KSh 1.00 per share**, bringing the **total dividend payout for FY2025 to KSh 14.67 billion**.

This represents a **67% increase** compared to the **KSh 8.8 billion** paid in FY2024, underscoring the Bank's sustained earnings growth and capital strength.

The proposed dividend will be submitted for approval by shareholders at the Annual General Meeting scheduled for **15 May 2026**.

This payout reflects the Group's commitment to delivering consistent shareholder value, anchored on a robust growth strategy, market leadership, and the strength of the **15-million-member Co-operative movement**.

Thank You



Contact Us:
investorrelations@co-opbank.co.ke